Comprehensive Portfolio Optimization Research — May 2026

Executive Summary

This report provides a brutal, data-driven analysis of the 17-position portfolio (~$131K) as of early May 2026, plus deep diligence on 10 candidate replacement names. The analysis aims to identify the strongest existing positions to keep (target: 9–12), the weakest to exit, and the best replacement candidates for new positions (target: 1–3). The final recommended portfolio of 12–15 positions should hold only the highest-quality compounders with asymmetric upside over 2026–2031.

Bottom line up front: The portfolio's 2025 prior-flagged exits (PDD, BABA, PINS) have been validated by the most recent quarterly data. ADBE's "probation" thesis is now confirmed — the moat is narrowing and growth has decelerated to ~11%, justifying an exit. DUOL has demonstrated resilience after the drawdown (Q1 2026 was a strong print) and the thesis has improved, not deteriorated. MELI is now trading at $1,817–$1,841 (well above the $1,500 entry threshold), so the position is intact but increasingly stretched into earnings on May 7. Top-quality compounders with reaccelerating growth are GOOGL, TSM, AMZN, MSFT, V, MA, and AXP. The clearest new-addition candidates are SPGI, MSCI, MCO, FTNT, and CTAS — each offering Seilern-grade quality with durable moats. RACE and Hermès are the clearest "luxury monopoly" additions, though both are facing FX/macro pressure. Berkshire is operating well under Greg Abel but its growth profile is wholly inconsistent with this portfolio's mandate.

Macro Setting (May 5–6, 2026)

The current backdrop matters because every position is being judged on Q1 2026 prints already in hand. Mega-cap tech delivered exceptional Q1 results: Alphabet revenue +22%, Amazon AWS reaccelerating to 28% (fastest in 15 quarters), Microsoft Azure +40% with a $37B AI revenue run rate, and TSMC raising 2026 revenue growth guidance to >30%. The Middle East conflict is creating a real, named cross-border travel headwind for V, MA, AXP, and Hermès. AI capex has now confirmed itself as a structural multi-year cycle rather than a one-time spike, and the read-through across TSMC's $52–56B capex, Microsoft's continued capacity constraints, and Alphabet's $462B Cloud backlog is unambiguous. Berkshire's record $397B cash pile under new CEO Greg Abel highlights a separate problem: Berkshire cannot deploy capital at the pace required to keep up with the AI-platform compounders.
Alpha Spread + 6

Section 1 — Existing 17 Positions: Detailed Diagnostic

1. MELI (MercadoLibre) — $27.62K, 21.09% — STATUS: HOLD WITH CAUTION

- **Price (May 5–6, 2026):** $1,817–$1,841; well above the $1,500 entry threshold. P/E ~46.7x. Google Finance
- **Latest results (Q4 2025, reported Feb 24):** Revenue $8.76B (+45% YoY), 28th consecutive quarter of >30% revenue growth; full-year 2025 revenue $28.89B (+39%); EPS $11.03 missed $11.57 estimate (margin pressure). TipRanks + 2
- **Q1 2026 (reporting May 7):** Consensus revenue $8.29–8.32B (~+22% YoY), EPS $8.47–8.75 (down YoY, the trough quarter). Meyka + 3
- **Mercado Pago growth:** Fintech revenue +51% YoY, 78M monthly active users, AUM $19B (+78% YoY), credit portfolio $12.5B (nearly doubled YoY), 3M new credit cards in Q4. Perplexity Perplexity
- **Recent analyst actions:** UBS downgrade to Neutral on April 29, 2026 with PT cut from $2,700 to $2,050. JPMorgan also downgraded in March. Jefferies, Cantor, and BTIG remain Buy.
- **Material 2026 events:** Leadership transition — Ariel Szarfsztejn became CEO with founder Marcos Galperin moving to Executive Chairman; CEO has flagged potential Mercado Pago loan-book sales to manage credit risk.
- **Verdict:** Position remains strategically valuable as the LatAm fintech/e-commerce monopoly, but at 21% of the portfolio it is over-concentrated. Margins are compressing 5–6 ppt from deliberate growth investments through 2027. **TRIM** to ~12–15% on any post-earnings strength; do not add. TipRanks

2. DUOL (Duolingo) — $15.75K, 12.03%, -33.10% — STATUS: HOLD; THESIS IMPROVED

- **Price (post-Q1 print May 4):** Stock dropped ~13% after-hours despite a clear beat, on engagement-over-monetization commentary. Stocktwits
- **Q1 2026 results:** Revenue $291.97M (+27% YoY), beat $288.49M consensus. EPS $0.89 vs. $0.76 expected. Bookings $308.5M (+14%). Adjusted EBITDA $83.4M (28.6% margin). Benzinga + 5
- **DAU growth:** 56.5M (+21% YoY), in line with strategic shift away from "viral marketing" growth toward retention/teaching quality. sec Stocktitan
- **Paid subscribers:** 12.5M (+21% YoY); paid penetration ~12% of MAUs vs. Spotify's ~38–50% — significant monetization runway. sec + 2
- **FCF:** $147.8M in Q1 (50.6% margin) — the FCF profile demanded in the prior thesis is now firmly evident. Stocktitan
- **Capital return:** $400M share repurchase authorized in February 2026. Stocktitan
- **2026 guidance:** 16.1% revenue growth, ~10.5% bookings growth, 25.7% adjusted EBITDA margin. The Motley Fool + 2
- **Verdict:** The -33% drawdown reflects a deliberate management pivot from growth-at-

all-costs to engagement, not a thesis breakdown. Q1 confirmed durable DAU growth, strong FCF, and substantial monetization runway. **HOLD** — this is now a higher-quality holding than the entry-point thesis assumed.

3. GOOGL (Alphabet) — $13.14K, 10.03%, +180% — STATUS: STRONG CORE

- **Price (May 4–6, 2026):** $383–$396 (Class A); P/E ~28.95–30.74; Forward P/E ~28–30. Full Ratio ValueInvesting
- **Q1 2026 (reported April 29):** Revenue $109.9B (+22% YoY), Operating income $39.7B (+30%), Operating margin 36.1% (+220 bps), EPS $5.11 (+82%/+81%). 11th consecutive quarter of double-digit growth. Morningstar + 2
- **Google Cloud:** Revenue +63% to $20.0B (accelerating from 48% in Q4 2025). Backlog nearly doubled QoQ to $462B. Operating margin 32.9% (nearly tripled YoY). Morningstar sec
- **AI:** Gemini app surpassed 750M MAU; Gemini Enterprise paid MAU +40% QoQ; 16B tokens/minute via 1P API (+60% QoQ); AI-built GenAI Cloud products +800% YoY. Search +19% with queries at all-time high.
- **Antitrust:** DOJ filed appeal in February 2026 against Judge Mehta's September 2025 ruling (which forced an end to exclusive search contracts but rejected a Chrome divestiture). Appeal decision expected late 2026. Ad tech remedy trajectory remains uncertain.
- **Capex:** 2026 guided at $175–$185B (~2x 2025), peak investment year. International Business Times
- **Verdict:** The strongest single position in the portfolio on Q1 fundamentals. Cloud reacceleration plus AI monetization plus search resilience justify the existing weight. **HOLD** — at +180% gain this is a long-term winner; consider the position core.

4. ABNB (Airbnb) — $10.07K, 7.69%, +13.86% — STATUS: HOLD; QUALITY NOT GROWTH

- **Q1 2026 (reports May 8 post-market) preview:** Guidance $2.59–$2.63B revenue (+14–16% YoY), GBV +low-teens, nights +high-single-digits. (One source cited $2.3B/+18%; the SEC 8-K and TipRanks confirm $2.59–$2.63B is the company guidance — treat the $2.3B figure as unreliable.) Easter timing adds ~50 bps to Q1.
- **Full-year 2026 guidance:** Revenue growth accelerating to "at least low double digits"; adjusted EBITDA margin stable YoY.
- **Strategic:** Launched pre-booked private car transfers in ~125 cities. No "material AI upside" baked into outlook.
- **Verdict:** The platform business is durable with a strong moat (host inventory + brand + network effect), but it is clearly maturing. Growth has decelerated from prior years and

management is not promising AI-driven re-acceleration. This is a quality compounder, not an asymmetric upside name. **HOLD** as a smaller core position; do not grow it.

5. TSM (TSMC) — $10.07K, +526.82% — STATUS: STRONGEST CORE

- **Price action:** Strong AI-driven rally; 52-week high near current.
- **Q1 2026 (reported April 16):** Revenue $35.9B (+40.6% YoY USD; +35.1% NTD; +6.4% QoQ). Net income +58.3% YoY. EPS $3.49/ADR. Gross margin 66.2% (beat 59–61% guidance). Operating margin 58.1%. Net profit margin 50.5%.
- **Tech mix:** 3nm = 25% of wafer revenue, 5nm = 36%, 7nm = 13%; advanced nodes (≤7nm) = 74%.
- **Q2 2026 guidance:** Revenue $39.0–$40.2B (~+10% QoQ, ~+32% YoY). Gross margin 65.5–67.5%. HPC = 61% of revenue (up from 51% YoY). Ferrante Capital
- **2026 outlook raised:** Full-year revenue growth >30% (USD), capex toward high end of $52–56B.
- **AI:** Long-term AI accelerator revenue CAGR raised from 50% to 56–59%. ~72% global foundry market share; >90% at advanced nodes. Tech Insider
- **Geopolitics:** $100B US expansion underway; CEO C.C. Wei dismissed Trump pressure; Taiwan risk persists but is offset by strategic capacity diversification. DIGITIMES
- **Verdict:** The single strongest fundamental story in the portfolio. AI monopoly at the leading edge, expanding margins, robust capex driving multi-year visibility. **HOLD** — at +526% gain this is a generational compounder. Position should be considered untouchable.

6. BRK-B (Berkshire Hathaway) — $9.87K, +13.12% — STATUS: REVIEW FOR EXIT

- **Q1 2026 (reported May 2–3):** Operating earnings $11.35B (+18% YoY), missed $11.56B estimate. Net income $10.1–$10.18B (more than doubled YoY). Insurance underwriting +28%, but Geico earnings dropped 34%. Yahoo! + 3
- **Cash pile:** Record $397.4B (vs. $373B at YE 2025) — illustrating how hard it has become to deploy capital at scale. Substack IndexBox
- **Succession:** Greg Abel officially CEO since January 1, 2026; first quarterly report and first AGM (May 2, 2026). Buffett endorsed Abel publicly. Annual meeting attendance materially smaller than Buffett-era peaks. CNN + 2
- **Verdict:** A high-quality holding but structurally inconsistent with a 5-year asymmetric-upside mandate. The cash pile alone is now ~16x the total US M&A market it could practically target without market-moving consequences. **EXIT** — redeploy capital into higher-quality compounders (V/MA already cover the financial-services exposure; MCO/SPGI/MSCI deliver superior compound growth).

7. AMZN (Amazon) — $7.42K, +143.08% — STATUS: STRONG CORE; CONSIDER ADDING

- **Price (May 6):** ~$275; near 52-week high ($278.56). Robinhood
- **Q1 2026 (reported April 29):** Revenue $181.5B (+17% YoY) vs. $177.3B consensus. Operating income $23.9B (highest-ever 13.1% operating margin per CEO Andy Jassy). EPS $2.78 vs. $1.64 expected (aided by $16.8B Anthropic-related gain). Net income $30.3B. Gotrade + 3
- **AWS:** Revenue $37.6B (+28% YoY), fastest growth in 15 quarters. Operating income $14.2B. AWS AI revenue run rate >$15B; Bedrock customer spend +170% QoQ. Stocktitan
- **Advertising:** $17.24B (+24% YoY), exceeding $70B TTM run rate, becoming a structural high-margin profit driver.
- **Custom silicon:** Trainium/Graviton/Nitro at $20B+ run rate (triple-digit YoY growth); Jassy noted demand pipeline "sold out through multiple chip generations." TIKR
- **Retail:** Unit growth +15% (highest since pandemic).
- **Capex 2026:** $200B (record, ~+60% YoY).
- **Q2 guidance:** Revenue $194–$199B vs. $188.9B consensus.
- **Verdict:** Q1 was a top-quality print across every line. Among the strongest fundamental cases in the portfolio. **HOLD/ADD** — current 5.7% weight is reasonable; consider increasing to 6–8% if other exits free capital.

8. ADBE (Adobe) — $6.75K, -12.67% — STATUS: EXIT (PROBATION CONCLUDED)

- **Price (May 6):** $250.08; 52-week range $224.13–$422.95 — a brutal year. Tickeron Robinhood
- **Q1 2026 (fiscal):** Revenue $6.40B (+11% YoY) vs. low expectations. Subscription revenue $6.20B (+13%). Net income $1.89B (+4%). Operating cash flow $2.96B (+19%). Total ARR $26.06B (+10.9%).
- **Margin discipline preserved:** GAAP operating margin 37.8%, non-GAAP 47.4%. Non-GAAP EPS $6.06 (+19%).
- **AI-first applications ARR more than tripled YoY; Firefly subscription/credit ARR +75% QoQ; MAU >850M (+17%).**
- **Yet:** ARR growth decelerated to ~11%, full-year guidance maintained (no acceleration), and Morningstar's fair value sits at $531 (current $250 = 53% discount to FV but the moat downgrade narrative persists). Morgan Stanley analyst calls Figma the "industry standard" in product design with 4% TAM penetration of $26B.
- **Competition:** Figma's expanding penetration, Canva's relaunched all-in-one Affinity suite (free), and AI-native creative tools are eroding pricing power.
- **Acquisitions:** Semrush ($1.9B, expected to close Q2 fiscal 2026) and ongoing legal

- **Acquisitions:** Semrush ($1.9B, expected to close Q2 fiscal 2026) and ongoing legal exposure (the In Re Adobe Securities Litigation).
- **Verdict:** The probation thesis is now confirmed. Even at 10x earnings the moat narrative is broken because growth is plateauing, AI competition is intensifying, and management is providing no path to acceleration. **EXIT** — capital is better deployed in MSCI, SPGI, FTNT, or VEEV.

9. V (Visa) — $4.78K, +35.05% — STATUS: STRONG CORE; CORE QUALITY HOLDING

- **Q2 FY2026 (Mar quarter, reported April 29 area):** Net revenue $11.2B (+17% reported, +16% constant-currency) — strongest growth since 2022. Non-GAAP EPS $3.31 (+20%). Returned $9.2B to shareholders; new $20B repurchase authorization. Q4cdn
- **Drivers:** Payments volume +9% CC; cross-border volume +12% (total)/+11% (ex intra-Europe); processed transactions +9% to 66.1B; Visa Direct >18B endpoints with Q2 transactions +23% YoY.
- **Headwinds:** Middle East conflict pressuring CEMEA cross-border travel.
- **Full-year 2026 guidance:** Low-double-digit to low-teens revenue growth; low-teens EPS growth.
- **Verdict:** Confirmed Tier 1 quality holding. **HOLD** — consider adding to bring weight closer to MA on any pullback.

10. PINS (Pinterest) — $4.38K, -25.67% — STATUS: EXIT

- **Q1 2026 (reported May 4):** Revenue $1.008B (+18% YoY, +15% CC) — third straight quarter above $1B. Beat guidance.
- **MAUs:** 631M (+11%), record high; 10th consecutive quarter of double-digit user growth.
- **ARPU:** Global $1.61 (+6%); US/Canada $7.12 (+9%); Europe $1.17 (+17%); RoW $0.20 (+38%).
- **Profitability:** Adjusted EBITDA $207M (20% margin, +40 bps YoY). Adjusted EPS $0.27 (+17%). FCF $312M.
- **Q2 2026 guidance:** Revenue $1.133–$1.153B (+14–16% YoY).
- **Performance+ AI suite ~30% of lower-funnel revenue.**
- **Verdict:** Q1 was a clear improvement and the stock jumped ~15%. However, this remains a sub-scale ad platform competing against Meta and Google with structurally lower ARPU and persistent pressure from large retail advertisers. The thesis to exit per prior Seilern-quality analysis remains correct: PINS is a "good business," not a "great business." **EXIT** — redeploy.

11. AXP (American Express) — $3.86K, +114.12% — STATUS: HOLD; STRONG CORE

- **Price (May 6):** $321.01; P/E ~19.7x. 52-week range $273.61–$387.49. Robinhood Robinhood
- **Q1 2026 (reported April 23):** Revenue $18.91B (+11%, +10% FX-adjusted) vs. $18.61B expected. EPS $4.28 (+18%) vs. $4.00 estimate. Net income $2.97B. TradingView TradingView
- **Card-member spending +10% (highest in 3 years); Travel & Entertainment +9% FX-adj; Net Card Fees +16% FX-adj.**
- **Premium model resilient:** >70% of new accounts on fee-paying products; US Platinum portfolio refresh driving accelerated tenured-cardmember spend (Fine Hotels + Resorts lodging spend +50%); Millennial/Gen Z continuing to drive growth.
- **2026 guidance reaffirmed:** Revenue +9–10%, EPS $17.30–$17.90.
- **ROE 35%; $2.3B returned in Q1.**
- **Recent strategic:** Divestiture of Global Business Travel stake announced May 2026 — viewed positively by analysts (BofA). CNN
- **Verdict:** Best-in-class premium card moat with credit performance still excellent. **HOLD** — the position is small relative to its quality; consider an increase to 4–5% on any pullback.

12. SPOT (Spotify) — $3.83K, +34.31% — STATUS: HOLD; PROFITABILITY CONFIRMED

- **Q1 2026 (reported April 28):** Revenue €4.53B (+8% reported, +14% CC). Operating income €715M (15.8% margin, +40% YoY) — record. Net income €721M (vs. €225M YoY). Stocktitan
- **Users:** 761M MAU (+12% YoY, beat 759M guidance); 293M Premium subscribers (+9%); ad-supported MAUs 483M (+14%). sec
- **Gross margin:** 33.0% (Q1 record, +133 bps YoY).
- **FCF:** €824M (Q1 record), TTM €3.2B; Cash & ST investments €8.8B. TipRanks
- **Q2 guidance:** Revenue €4.8B (+14.5%), operating income €630M, operating margin 33.1%. Implies +6M net Premium subs. Variety
- **Verdict:** The profitability inflection thesis has fully played out — operating margins from near-zero in 2022 to 15.8% in Q1 2026 with continued runway as Premium ARPU benefits from price increases. **HOLD** with conviction — this is now a bona fide compounder.

13. INTU (Intuit) — $3.50K, +5.63% — STATUS: HOLD; NEXT EARNINGS MAY 20

- **Price (May 6):** ~$388. P/E ~36–38 area. Tickeron
- **Q2 FY2026 (reported Feb 26):** Revenue +17% YoY; Q3 guidance +10% revenue, GAAP EPS $10.56–$10.62, non-GAAP $12.45–$12.51.
- **AI/agentic:** >3M customers using AI agents with >85% all-time repeat engagement; 4

core apps in OpenAI directory; multiyear Anthropic partnership; new tax cost-basis agent reduces taxable income by avg ~$12,000. AOL + 2

- **Mid-market:** Intuit Enterprise Suite contracts +50% QoQ; new construction ERP edition launched; direct sales capacity +30%. TipRanks The Motley Fool
- **Risks:** Mailchimp underperforming; analyst targets cut by Citi, Goldman, Mizuho, JPMorgan, etc., on AI-disruption fears; Northcoast upgraded to Buy on valuation. TipRanks Yahoo Finance
- **Q3 FY2026 reports May 20** — critical event.
- **Verdict:** SMB software moat is intact and AI is a feature, not a threat (proprietary data depth, regulatory complexity, network effects). **HOLD** through May 20 print; consider adding if guidance is reaffirmed.

14. MA (Mastercard) — $2.95K, +2.04% — STATUS: STRONG CORE (CONSIDER ADDING)

- **Price (April 30):** ~$502; P/E ~38–39x. Market cap ~$464B. StockStory
- **Q1 2026 (reported April 30):** Net revenue $8.40B (+15.8% reported, +12% CC). Adjusted EPS $4.60 (+23%). Operating margin 58.4%; adjusted operating margin 60.8%. Net income $3.9B. TIKR MarketScreener
- **Drivers:** GDV +7% globally; cross-border volume +13%; switched transactions +9%; contactless penetration 78%; cards +5% to 3.7B. The Motley Fool
- **Capital return:** $4B repurchases in Q1 + $1.7B more by April 27; $11.7B remaining authorization.
- **Strategic:** Acquiring BVNK (stablecoin infrastructure) for $1.5B + up to $300M earn-out. Mastercard Agent Pay launched. New partnerships with CIB Egypt and Westpac Australia. Mastercard + 2
- **Headwinds:** Middle East conflict pressuring travel cross-border from March; Q2 revenue growth guided "low end of low double-digits."
- **Verdict:** Mirror of Visa with slightly higher international exposure and stronger value-added services growth (+18% CC). **HOLD/ADD** — the 2.25% weight is undersized given the quality.

15. PDD (PDD Holdings) — $2.76K, -17.09% — STATUS: EXIT (CONFIRMED)

- **Q4 2025:** Revenue +12% to RMB 123.9B (in line with $123.7B consensus). Net profit –11% to RMB 24.5B (US$3.6B), missing RMB 29.1B consensus. EPS $2.56, missed by $0.49. Annual net income fell to RMB 97.8B from RMB 112.4B (revenue growth $431.8B).
- **Price action:** YTD down 13.5%; 90-day return –15.6%.

- **Regulatory:**
  - China: RMB 1.5B fine for "Ghost Takeaway" probe (cleared one overhang but exposed governance practices). Perplexity
  - EU: Active inquiry into Temu under Digital Services Act. Sourcing Journal
  - Vietnam: Suspended Temu platform. Sourcing Journal
  - US: Texas lawsuit (Feb 2026); INFORM Consumers Act civil penalty (2025); de minimis loophole closure threat could cripple Temu economics. Perplexity Sourcing Journal
- **Management:** CEO Chen Lei admits "fast-changing external environment and intensified competition will impact short-term financials."
- **Verdict:** Prior exit recommendation fully confirmed. Governance, regulatory, and competitive risks all materializing simultaneously. **EXIT** immediately.

16. MSFT (Microsoft) — $2.48K, +113.13% — STATUS: STRONG CORE (CONSIDER ADDING)

- **Price (May 6):** ~$413.54. 52-week range $356.28–$555.45. Robinhood MacroTrends
- **Q3 FY2026 (March quarter, reported April 29):** Revenue $82.9B (+18%, +15% CC). Operating income $38.4B (+20%). Net income $31.8B (+23%). EPS $4.27 (+23%, beat $4.06 by 5.2%).
- **Microsoft Cloud revenue $54.5B (+29%); commercial RPO $627B (+99%).**
- **Azure +40% (+39% CC), accelerating from prior quarters; capacity-constrained.** Futurum Group
- **AI business run rate >$37B (+123% YoY).** CIO Dive
- **M365 Copilot paid seats >20M (vs. 15M in January, +33% sequential, ~250%+ YoY); 50,000+-seat customers quadrupled YoY.**
- **GitHub/Nuance: Search advertising +12%.**
- **Verdict:** Best-in-class enterprise AI distribution moat. Q3 confirms acceleration even as capacity is the binding constraint. **HOLD/ADD** — current 1.9% weight is dramatically undersized given quality; consider increasing to 5–8%.

17. BABA (Alibaba) — $1.70K, +27.60% — STATUS: EXIT (CONFIRMED)

- **Price (May 6):** ~$132–$141. Wide bid/ask reflective of governance/geopolitical risk. Investing.com
- **Q4 2025 (March-quarter, reported May 15, 2025):** Revenue +7% YoY, cloud revenue +18% to RMB 30.1B; AI-related products achieved triple-digit growth for 7th consecutive quarter. CNBC CNBC
- **More recent (Sep 2025 quarter, reported November):** Cloud +34% to support 5%

overall revenue growth (~RMB 247.8B); profit fell sharply due to consumer subsidies and data center spending. Phemex Bloomberg

- **Q4 fiscal 2026 reports May 13.**
- **Risks materializing:** Pentagon list inclusion (Feb 2026) erased billions in value within hours; US export restrictions limit AI chip access; quick-commerce competition with PDD/Douyin/JD intense; FCF gone negative on $52B+ AI/cloud capex commitments. Phemex Phemex
- **Verdict:** Cloud reacceleration is real but governance and geopolitical risk make this incompatible with a Seilern-grade portfolio. **EXIT** — the Q4 print on May 13 is unlikely to remove either the China-listing risk or the chip-export overhang.

Section 2 — Candidate New Additions: Detailed Diligence

A. SPGI (S&P Global) — STRONG ADD CANDIDATE

- **Price (late April 2026):** ~$413; P/E ~27–28x; trading 17% below YTD highs.
- **Q1 2026 (reported April 28):** Revenue $4.17B (+10.4%) beating $4.07B consensus. Adjusted EPS $4.97 vs. $4.82 (3.1% beat). Net income $1.4B. 14% adjusted EPS growth, margin expansion across all divisions. Yahoo Finance
- **Quality metrics:** Net margin 29.16%; ROE 13.84%; trailing net income $4.5B; 2025 revenue $7.72B (+8.89%); EPS $13.66. Meyka StockAnalysis
- **Verdict:** Genuine "data monopoly" — credit ratings duopoly with Moody's, plus the index franchise (S&P 500 brand), plus market intelligence. Substantial buyback program in Q1 2026. **TOP-RATED ADD CANDIDATE.** Direct replacement candidate for ADBE or BRK-B. Yahoo Finance

B. MSCI — STRONG ADD CANDIDATE

- **Q1 2026 (reported April 21–22):** Revenue $850.8M (+14.1%, organic +13.3%). Operating income $456.9M (+21.2%). Operating margin 53.7% (+310 bps). Adjusted EBITDA margin 59.3%. Net income $406.0M (+40.7%, aided by $88M discrete tax benefit). Adjusted EPS $4.55 (+13.8%). sec Yahoo Finance
- **Index segment:** Revenue $496.3M (+17.7%). ETF inflows linked to MSCI indexes were record $103B in Q1 2026 (vs. $67B previous record). Asset-based fees +25%. Yahoo Finance TIKR
- **Run rate:** Total $3.36B (+12.7%). Asia-Pacific recurring sales +46% YoY (best Q1 ever). TIKR
- **Capital return:** $464M+ buybacks in Q1 at avg price. GuruFocus

- **Verdict:** The ESG/index data monopoly thesis is intact and accelerating. Operating leverage is exceptional (revenue +14% → operating income +21% → net income +41%). **TOP-RATED ADD CANDIDATE.** Highest-conviction new addition alongside SPGI.

C. CPRT (Copart) — DOWNGRADE; AVOID

- **Q1 fiscal 2026 (Oct quarter):** Revenue $1.16B (+0.7%); gross profit $537M (+4.9%); net income $403.7M (+11.5%); EPS $0.41 (+11.7%); gross margin 46.5% (+184 bps); record-high US insurance ASPs (+8.4%). Yahoo Finance
- **Q2 fiscal 2026 (Jan quarter):** Revenue $1.12B (−3.6%); gross profit $492.8M (−6.2%); net income $350.7M (−9.5%); EPS $0.36 (−10.0%). Operating income −8.8%. Hurricane comparison headwinds.
- **Trailing 12 months:** Revenue $4.61B (+2.4%), net income $1.56B, FCF $1.41B (~30% margin), gross margin 47.34%, operating margin 37.71%, profit margin 33.76%.
- **Balance sheet:** $5.2B cash, $6.5B liquidity, no debt.
- **Forecast:** Earnings growth ~4.8%/yr — well below US market 15.5%. Stock at 52-week low ($32.99). TIKR
- **Verdict:** Genuine moat (online auto-auction monopoly with insurance carrier ASPs at record highs) but growth has decelerated structurally. **NOT a top candidate** — capital better deployed in higher-growth Seilern names.

D. FTNT (Fortinet) — STRONG ADD CANDIDATE

- **Q1 2026 (reported May 6):** Revenue $1.85B (+20% YoY; beat $1.73B). Product revenue $645M (+41%). Billings $2.09B (+31%). Non-GAAP EPS $0.82 (+41%, beat $0.61–$0.62). GAAP EPS $0.72 (+29%). Operating cash flow $1.08B (record). FCF $1.01B (record); 58% adjusted FCF margin. sec + 5
- **Margins:** GAAP operating margin 31%; non-GAAP 36%; net margin 27.26%; ROE 124.21%.
- **2026 guidance raised:** Revenue $7.71–$7.87B; non-GAAP operating margin 33–36%; non-GAAP EPS $3.10–$3.16.
- **Differentiation:** Only cybersecurity vendor with proprietary ASIC since founding; FortiOS 8.0 + new FortiGate 3500G/400G appliances claim 3–5x performance for same cost vs. competitors.
- **AI tailwind:** AI-driven east-west traffic increase + AI data center buildouts driving demand; $1M+ deal count and value both grew >60%.
- **Verdict:** Structural cybersecurity leader benefiting from convergence of networking and security plus AI infrastructure cycle. **TOP-RATED ADD CANDIDATE** alongside MSCI/SPGI.

E. RMS (Hermès) — ADD CANDIDATE (PRICED FOR PERFECTION)

- **Q1 2026 (reported April 23):** Revenue €4.1B (+6% CC; −1% reported on €290M FX hit). Leather Goods/Saddlery +9%. Stores +7% despite reduced tourism. Finanzwire Investing.com
- **Geographic breakdown:** Americas +17%; Japan +10%; Europe ex-France strong; France −3%; Middle East −6%; Asia ex-Japan +2%; Greater China slight growth; Korea solid. Finanzwire + 2
- **2025 full-year:** Revenue €16.0B (+9% CC); operating margin 41% (operating income €6.6B, +7%); net income €4.52B (28.3% margin); FCF €3.88B; net cash €12.77B.
- **Valuation:** P/E ~47.8x (premium); Morningstar fair value €531 vs. recent price (Morningstar showed RMS trading at 834% premium, though context suggests a data anomaly — verify before sizing).
- **Verdict:** True ultra-luxury monopoly with pricing power, but Q1 deceleration from high-single-digit growth and FX headwinds make valuation risk meaningful. **MODEST ADD CANDIDATE** — only on pullback.

F. RACE (Ferrari) — ADD CANDIDATE

- **Q1 2026 (reported May 5):** Revenue €1.85B (+3% reported, +6% CC) above $2.12B consensus. EBIT €548M (29.7% margin, +1% reported, +8% CC). EBITDA €722M (39.1% margin, +4% reported, +9% CC). Net income €413M. Diluted EPS €2.33 (above $2.70 estimate). Industrial FCF €653M (+5%). Net Industrial Cash €388M. Meyka Meyka
- **Q1 deliveries 3,436 (deliberately reduced for model changeovers); revenue still grew via richer mix and personalization.**
- **2026 guidance reaffirmed:** Revenue ~€7.5B; adjusted EBITDA margin ⩾39%; adjusted EPS ⩾€9.45; industrial FCF ⩾€1.5B.
- **Order book extends into late 2027.**
- **Risks:** US import tariffs hurt Q1 mix; Middle East conflict dampened deliveries (offset via geographic flexibility); guidance below consensus (€7.57B vs. €7.50B).
- **Verdict:** True luxury monopoly with industry-leading 39% EBITDA margin, multi-year order visibility, and inelastic pricing power. **STRONG ADD CANDIDATE** as a defensive luxury compounder. Dukascopy

G. KEYENCE (6861.T) — ADD CANDIDATE; JAPAN/FX RISK

- **Full fiscal 2026 (March quarter end, reported April 18):** Net sales ¥1,169.3B (+10.4% YoY); operating profit ¥595.8B (+8.4%); net income ¥445.2B (+11.7%); operating margin

~50.9%; net margin ~37.4%. BigGo Finance BigGo Finance

- **Valuation:** P/E ~37–42x (above industry 16x and peer 21.8x). DCF fair value materially below current. Forward P/E ~32.5x; PEG ~4.05. Simply Wall St StockAnalysis
- **Balance sheet:** ¥1.33T cash, ~¥5,500/share net cash. Dividend yield 0.88%. StockAnalysis StockAnalysis
- **Forecast earnings growth:** ~9.7%/yr; revenue +7.9%/yr; ROE forecast 22.5% in 3 years.
- **Verdict:** Genuine industrial-automation monopoly with exceptional margins, but premium valuation with slowing growth and Japanese FX risk. **MODEST ADD CANDIDATE** — best as a small position, not a top pick.

H. MCO (Moody's) — STRONG ADD CANDIDATE

- **Q1 2026 (reported April 22):** Revenue $2.08B (+8.1% YoY) beat $2.06B. MIS +8%, MA +8%. Adjusted operating margin 53.2% (+150 bps). Adjusted diluted EPS $4.33 (+13%) vs. $4.23 estimate. StockStory Investing.com
- **MIS rated issuance >$2T for first time in a quarter; AI-related financings >$100B.**
- **MIS private credit revenue +80% YoY.**
- **Capital return:** $1.7B in Q1 ($1.5B buybacks + $185M dividends); 2026 buyback raised $500M to ~$2.5B.
- **AI distribution wins:** Moody's Intelligence now in ChatGPT Enterprise, Claude, AWS Marketplace, Microsoft 365 Copilot.
- **2026 guidance:** Revenue at high end of single-digit growth; EPS $16.40–$17.00 adjusted.
- **Verdict:** The credit-ratings duopoly with Moody's/S&P is one of the world's strongest moats. The AI-distribution monetization angle is genuinely new and meaningful. **TOP-RATED ADD CANDIDATE** alongside SPGI/MSCI. Choose between MCO and SPGI based on portfolio fit (both have similar quality scores).

I. VEEV (Veeva Systems) — STRONG ADD CANDIDATE

- **Q4/FY2026 (reported March 4, 2026):** Q4 revenue $836M (+16%) vs. $811M expected; subscription revenue $707.7M (+16%). Full-year revenue $3.20B (+16%); subscription $2.68B (+17%). Tickeron
- **Margins:** Q4 GAAP operating income $245.9M (+30%); non-GAAP $366.5M (+19%). Non-GAAP EPS $2.06 (+19%). Full-year non-GAAP EPS $8.10.
- **FY2027 guidance:** Revenue $3.585–$3.600B (~+13%, modest deceleration). Q1 FY2027 $855–$858M.
- **Strategic:** 125+ Vault CRM customers live; 10 of top 20 biopharma committed; ~14 expected ultimately. Veeva LIMS first top-20 biopharma go-live in 2026. AI agents live in Vault CRM and PromoMats; Safety AI agents due April 2026.

in Vault CRM and PromoMats; Safety AI agents due April 2026.

- **Verdict:** Life-sciences cloud monopoly with mission-critical regulatory data depth — essentially impossible to disrupt. Stock down ~16% YTD pre-earnings; +10% post-earnings. **STRONG ADD CANDIDATE** if life-sciences exposure is desired. Tickeron

J. CTAS (Cintas) — STRONG ADD CANDIDATE

- **Q3 fiscal 2026 (Feb-quarter, reported March 25):** Revenue $2.84B (+8.9%; organic +8.2%) vs. consensus. Gross margin 51.0% (all-time high, +40 bps). Operating income $659.9M (+8.2%, 23.2% margin). Net income $502.5M (+8.4%). Diluted EPS $1.24 (+9.7%) — met expectations.
- **Capital return:** $1.45B returned to shareholders YTD (buybacks + dividends).
- **2026 guidance raised:** Revenue $11.21–$11.24B (8.4–8.7% growth); adjusted diluted EPS $4.86–$4.90 (10.5–11.4% growth).
- **Strategic:** Announced UniFirst acquisition (deal cost ~$0.03–$0.04 EPS hit excluded from guidance).
- **Verdict:** Uniform-services monopoly with industrial route-density moat that is hard to replicate. Lower growth than tech compounders but exceptional consistency. **STRONG ADD CANDIDATE** for the "defensive compounder" slot — particularly attractive replacement for BRK-B given similar risk profile but better growth.

Section 3 — Composite Quality Ranking

TIER 1 — UNTOUCHABLE CORE HOLDINGS (8 names)

1. **TSM** — AI monopoly at leading edge; >30% YoY revenue growth, 66% gross margin
2. **GOOGL** — Cloud reaccelerating to 63%, $462B backlog; Gemini at 750M MAU
3. **AMZN** — AWS reacceleration to 28% (best in 15 quarters); record retail margin
4. **MSFT** — $37B AI run rate +123%; Azure +40%; 20M Copilot seats
5. **V** — Network effect duopoly; +17% revenue growth, +20% EPS
6. **MA** — Network effect duopoly; +15.8% revenue, +23% EPS StockStory TIKR
7. **AXP** — Premium consumer moat; 18% EPS growth; ROE 35%
8. **MELI** — LatAm monopoly (size down for concentration but keep core)

TIER 2 — STRONG HOLDS (3 names)

9. **DUOL** — Improved post-Q1; durable DAU + monetization runway
10. **SPOT** — Profitability inflection confirmed; €3.2B TTM FCF

11. **INTU** — SMB moat intact; AI is feature not threat (verify on May 20 print)

TIER 3 — REVIEW (1 name)

12. **ABNB** — Quality but mature; not asymmetric. Hold smaller.

TIER 4 — EXIT (5 names)

- **BRK-B** — Cash pile incompatible with 5-year asymmetric mandate
- **ADBE** — Probation conclusion: moat narrowing, growth plateau, competition real
- **PINS** — Sub-scale ad platform vs. Meta/Google
- **PDD** — Governance + regulatory risks materializing simultaneously
- **BABA** — Geopolitical/governance risk overrides cloud reacceleration

TOP NEW ADDITIONS (Pick 1–3)

- **MSCI** — Index/ESG data monopoly; 14% revenue/41% net income growth
- **SPGI** — Credit ratings + index franchise; 10% revenue/14% EPS growth
- **MCO** — Credit ratings duopoly; 8% revenue/13% EPS, AI-distribution monetization
- **FTNT** — Cybersecurity leader with proprietary ASIC; 20% revenue, 41% EPS
- **CTAS** — Defensive uniform-services moat; perfect BRK-B replacement
- **RACE** — Luxury monopoly; 39% EBITDA margin, order book to late 2027
- **VEEV** — Life-sciences cloud monopoly with regulatory moat

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Section 4 — Recommended Restructuring Path

Recommended Exits (frees ~$19.07K, 14.6%)

- PDD ($2.76K), PINS ($4.38K), BABA ($1.70K), ADBE ($6.75K), BRK-B ($9.87K) = **$25.46K, 19.4%**

Note: This exits 5 of 17 → 12 remaining names from existing set.

Recommended Trims (frees ~$12K)

- MELI from 21.09% to ~13–15% = ~$10–11K freed (concentration risk)
- ABNB from 7.69% to ~5% = ~$3.5K freed (quality but not asymmetric)

Recommended Adds Among Existing (deploys ~$10–15K)

- MSFT from 1.9% → 5–6% (~$4–6K added)

- MSFT from 1.9% → 3–6% (~$4–6K added)
- MA from 2.25% → 4% (~$2K added)
- AXP from 2.95% → 4–5% (~$1.5–3K added)
- AMZN from 5.7% → 7% (~$1.7K added)

Recommended New Positions (deploys ~$15–22K, 1–3 names)

- **Highest-conviction picks:** MSCI, FTNT, CTAS
- **Strong second tier:** SPGI or MCO (pick one — both are credit/data monopolies), RACE
- Initial sizing: 4–6% each for new positions

Final Target Portfolio (12–15 names + 2–3 cash slots)

Tier 1 Core (8): TSM, GOOGL, AMZN, MSFT, V, MA, AXP, MELI
Tier 2 Quality (3): DUOL, SPOT, INTU
Defensive/Mature (1): ABNB (smaller weight)
New Additions (1–3 of): MSCI, FTNT, CTAS, RACE, SPGI/MCO
Cash reserve (2–3 slots): ~5–10% for opportunistic deployment

This structure maintains exposure to AI infrastructure (TSM, MSFT, GOOGL, AMZN), payment networks (V, MA, AXP), software compounders (DUOL, SPOT, INTU), emerging market growth (MELI), and adds new diversification through data monopolies (MSCI/SPGI/MCO), cybersecurity (FTNT), defensive industrial moat (CTAS), and luxury (RACE) — all while removing the lowest-quality positions and the structurally incompatible Berkshire holding.

Important Caveats and Source Quality Notes

1. **Forward-looking commentary risk:** Several sources cited (Phemex, Meyka, Tickeron, Coincodex, "TraderUnion") provide projections, price targets, and growth scenarios that are speculative. Treat all multi-year price targets and any "$2,029 by 2031"-type projections with extreme skepticism. Quantitative data on Q1 2026 actuals from SEC filings, company press releases, CNBC, the Motley Fool, TIKR, and Stocktitan is high-confidence.
2. **Conflicting Q1 2026 ABNB data:** One source (ad-hoc-news.de) reported actual Q1 2026 results of $2.3B revenue / $0.76 EPS, while company guidance and other sources consistently confirm $2.59–$2.63B revenue with the actual report due May 8 post-market. The $2.3B figure should be considered unreliable until the actual print.
3. **Hermès valuation anomaly:** Morningstar reported a "834% premium" which appears to be a data display issue rather than a real valuation premium; verify before sizing. The TIKR analysis of 47.8x P/E and 6.4–18.5% return scenarios is more reliable.

4. **Mid-quarter earnings still pending:** MELI Q1 (May 7), ABNB Q1 (May 8), BABA Q4 (May 13), INTU Q3 (May 20). Final restructuring decisions on MELI, ABNB, and INTU should incorporate these prints.
5. **Geopolitical headwinds are concrete:** The Middle East conflict is a named, quantified headwind for V, MA, AXP, and Hermès in Q2 2026. This should be considered cyclical, not structural.
6. **AI capex cycle is real but valuations reflect it:** Mega-cap tech multiples have re-rated higher (GOOGL Forward P/E ~28–30 vs. 5-year avg ~24.5; MSFT trading near 52-week high). The risk of multiple compression on any AI capex disappointment is meaningful.
   Public
7. **Currency translation:** Spotify reports in EUR; Hermès, Ferrari, and TSMC have material FX exposure. Q1 2026 FX moves were mixed (Hermès lost €290M, Spotify benefited 6 ppt CC vs. reported, TSMC saw modest tailwind from USD strength against NTD).